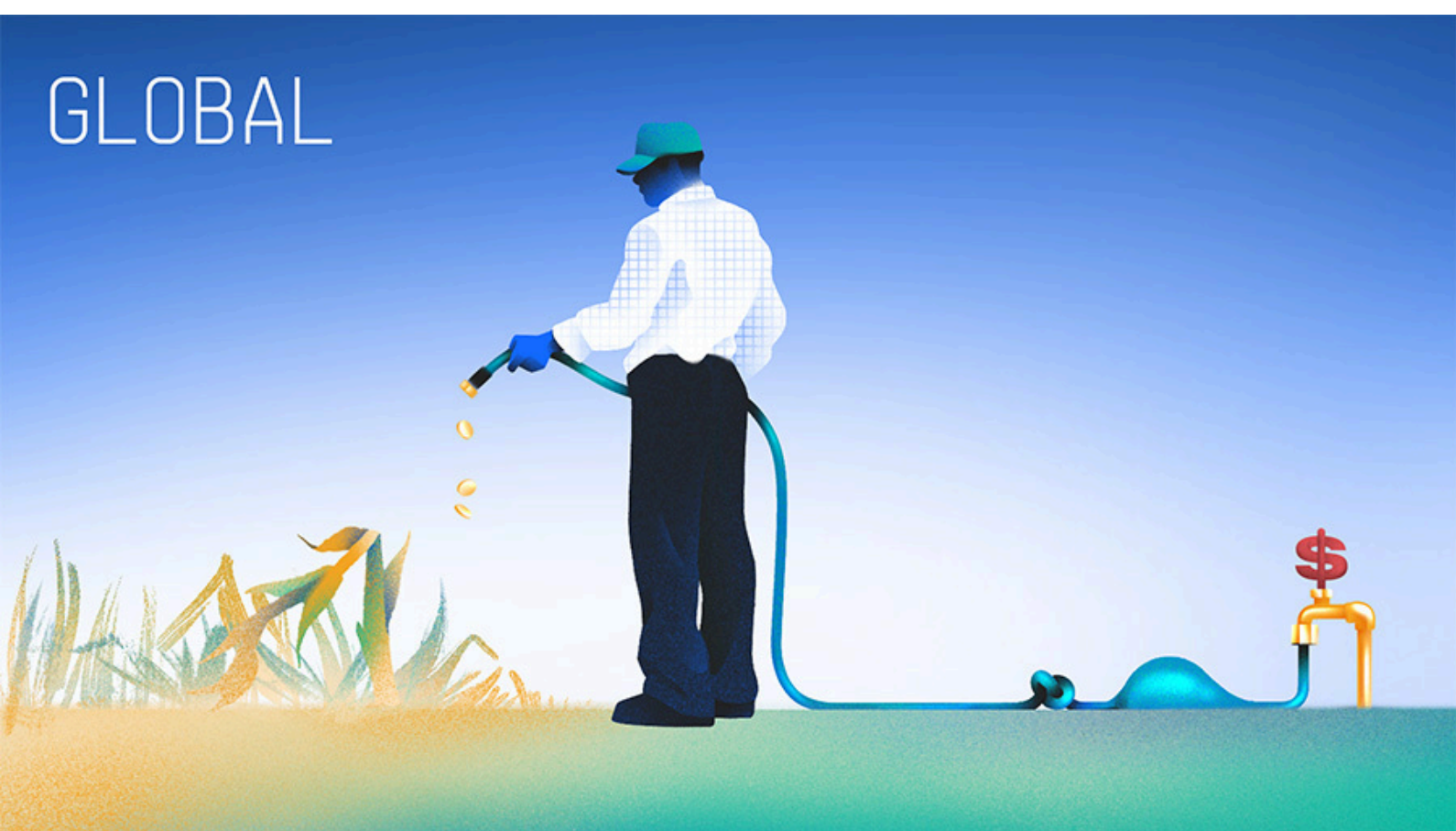


Q1 Global Startup Funding Posts Strongest Quarter Since Q2 2022 With A Third Going To Massive OpenAI Deal

Gené Teare April 3, 2025



Gené Teare
@geneteare

Both the largest startup funding round ever and the largest acquisition of a venture-backed company occurred in Q1 2025, reflecting a warming startup environment but also one where capital and opportunities were concentrated among a handful of companies and sectors.

Overall, the quarter marked the strongest one for venture investment since Q2 2022.

But the quarterly numbers were significantly buoyed by a single round: [OpenAI](#) raised the [largest private round ever](#), a \$40 billion funding that values the company at \$300 billion.

The deal — which alone accounts for more than half of U.S. venture funding and a third of global funding last quarter — pushed global startup investment in Q1 to \$113 billion, Crunchbase data shows. Funding to just the AI sector comprised more than half of last quarter’s global total.

Total startup funding in Q1 was up 17% quarter over quarter from \$96 billion in Q4 2024 and up 54% year over year from \$73 billion in Q1 2024.

Global Venture Dollar Volume Through Q1 2025

	QoQ Change [%]	YoY Change [%]
Overall Dollar Volume	17%	54%

[crunchbase](#)

Table of Contents

- [Billions more in funding](#)
- [U.S. gained](#)
- [Strongest M&A quarter since 2021](#)
- [AI capital concentrated](#)

- [Late stage was up](#)
- [Early stage trails](#)
- [Seed falls](#)
- [CapEx and concentration](#)
- [Methodology](#)
- [Glossary of funding terms](#)

Billions more in funding

OpenAI moved from the third-most valuable private company to the second-most valuable after [SpaceX](#), which is currently valued at \$350 billion. OpenAI has raised a total of \$57.6 billion since its founding in 2015. The latest round represents more than two-thirds of the San Francisco-based company's total funding since it was founded, adding to the \$6.6 billion it raised in Q4.

Competitor [Anthropic](#) also raised billions in funding in Q1, but even so, it was a fraction of what OpenAI raised. Anthropic raised \$4.5 billion across two funding rounds, after raising \$4 billion in Q4.

Generative AI companies were not the only companies to raise billion-dollar rounds in Q1. U.S.-based immersive reality company [Infinite Reality](#) raised \$3 billion, and crypto asset company [Binance](#) raised \$2 billion.

By comparison, the peak quarter of 2024 was Q4 with \$96 billion in total funding. That quarter included a spate of billion-dollar rounds to U.S.-based data and AI companies. [Databricks](#), OpenAI, [xAI](#) and Anthropic collectively raised \$26.6 billion — a quarter of global funding.

U.S. gained

Venture funding to U.S. companies totaled \$80 billion in Q1 2025, accounting for around 71% of global funding. Funding to Bay Area-based

companies alone reached \$55 billion, accounting for 69% of U.S. venture capital funding and 49% of global funding.

Strongest M&A quarter since 2021

Q1 2025 was also the strongest quarter for startup M&A dollar volume since 2021, totaling \$71 billion in reported exit value.

[Wiz](#)'s acquisition by [Google](#), if finalized, will mark the largest acquisition for a private company with a price tag of \$32 billion. The deal is still subject to regulatory approval.

In total, there were 12 acquisitions above \$1 billion for venture-backed startups. The most notable include [Ampere](#)'s acquisition by [SoftBank](#), [Modernizing Medicine](#)'s purchase by [Clearlake Capital Group](#), [Moveworks](#)' acquisition by [ServiceNow](#), and [Weights & Biases](#)' purchase by [CoreWeave](#).

While the dollar volume for global M&A was high, deal counts for the quarter came in at more than 500, but remained well below market peak quarters of the around 800 global M&A deals seen in 2021, Crunchbase data shows.

Global M&A for venture-backed companies averaged \$63 billion each quarter in 2021, with a peak quarter that year at \$71 billion, Crunchbase data shows.

AI capital concentrated

AI was the leading sector for venture funding in the first quarter, with \$59.6 billion invested. Last quarter marked the strongest quarter for AI funding ever, with an astonishing 53% of global funding going to the AI sector alone.

This followed a strong fourth quarter when \$44 billion was raised by AI startups globally.

Healthcare and biotech was the second-largest sector for funding in Q1, with \$18 billion invested. Financial services companies, the third-largest sector in the quarter, totaled \$10.8 billion.

Global Funding To AI, By Quarter

crunchbase

Late stage was up

Late-stage funding in the first quarter gained quarter over quarter. Funding reached \$81 billion, up more than 30% quarter over quarter and an increase of 147% year over year from the \$33 billion invested in Q1 2024, Crunchbase data shows.

Global Late-Stage And Technology Growth Investment Through Q1 2025

crunchbase

Early stage trails

Early-stage funding was slightly down in Q1 reaching \$24 billion. Larger Series A and B rounds were led by the healthcare and biotech sector. Large rounds were also found in robotics, AI and cloud services, among other sectors.

Global Early-Stage Investment Through Q1 2025

crunchbase

Seed falls

Seed funding reached \$7.2 billion in Q1, down 14% from \$8.4 billion invested a year ago. (Seed funding totals typically increase over time, as many seed rounds are added to the Crunchbase dataset after the close of a quarter.)

Global Seed And Angel Investment Through Q1 2025

crunchbase

CapEx and concentration

The venture markets are adapting to the massive opportunities that AI unleashes and the imposing costs of its computation. Last quarter tells that story, with more than a third of capital invested in a single company, OpenAI.

Valuations are increasing at a faster pace. [The Crunchbase Unicorn Board](#) has added around \$400 billion in value in the first quarter — from the 29 companies that joined and from existing unicorns that raised rounds at higher values. The board reached \$1 trillion in total funding in January this year and currently tops \$5.8 trillion in value.

The IPO markets for tech companies were slow in Q1. The most high-profile company to go public was New Jersey-based [CoreWeave](#), an AI

infrastructure cloud service provider. Its shares priced below their range at \$40 per share, but have since seen a significant uptick in price.

With future large outcomes, M&A has heated up, providing some much-needed liquidity to the venture capital industry.

Methodology

The data contained in this report comes directly from Crunchbase, and is based on reported data. Data reported is as of April 2, 2025.

Note that data lags are most pronounced at the earliest stages of venture activity, with seed funding amounts increasing significantly after the end of a quarter/year.

Please note that all funding values are given in U.S. dollars unless otherwise noted. Crunchbase converts foreign currencies to U.S. dollars at the prevailing spot rate from the date funding rounds, acquisitions, IPOs and other financial events are reported. Even if those events were added to Crunchbase long after the event was announced, foreign currency transactions are converted at the historic spot price.

Glossary of funding terms

Seed and angel consists of seed, pre-seed and angel rounds. Crunchbase also includes venture rounds of unknown series, equity crowdfunding and convertible notes at \$3 million (USD or as-converted USD equivalent) or less.

Early-stage consists of Series A and Series B rounds, as well as other round types. Crunchbase includes venture rounds of unknown series, corporate venture and other rounds above \$3 million, and those less than or equal to \$15 million.

Late-stage consists of Series C, Series D, Series E and later-lettered venture rounds following the “Series [Letter]” naming convention. Also included

are venture rounds of unknown series, corporate venture and other rounds above \$15 million. Corporate rounds are only included if a company has raised an equity funding at seed through a venture series funding round.

Technology growth is a private-equity round raised by a company that has previously raised a “venture” round. (So basically, any round from the previously defined stages.)

Illustration: Dom Guzman

Tags AI M&A unicorn